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Judgment Sheet

IN THE LAHORE HIGH COURT, LAHORE.

JUDICIAL DEPARTMENT

Case No. W.P. No.36681 of 2015

**Allah Ditta Versus Province of Punjab and 2
others.**

JUDGMENT

Date of hearing:	21.12.2016
Petitioner by:	Hafiz Tariq Nasim & Mr. Jawad Tariq, Advocate
Respondents by:	Mr. Ashfaq Ahmad Kharral, Assistant Advocate-General. Amjad Ali Assistant Director Enquiry, Punjab Local Govt. Board.

JAWAD HASSAN, J.- Through the instant constitutional petition filed under Article 199 of the Constitution of the Islamic Republic of Pakistan, 1973 (the “Constitution”), the Petitioner has impugned his dismissal order dated 22.12.2014 as well as order dated 02.11.2015 for rejection of his Departmental Appeal.

2. The facts succinctly revealed from the petition are that the Petitioner was Taxation Officer TMA, Okara and after charge sheet an inquiry was conduct against him in which he filed written defense specifically refuting all the allegations. It is alleged that the Inquiry Officer recommended major penalty of forfeiture of service for two years under Section 4(b)(iii) of the Punjab Employees Efficiency, Discipline and Accountability Act, 2006 (the “2006 Act”). It is further alleged that on the basis of said recommendations the Petitioner was served with a show cause notice dated 17.07.2014 by the Competent Authority which was replied by him in detail but while dissatisfying with the reply the Respondent No.2 dismissed the Petitioner from service on 22.12.2014. Feeling aggrieved thereby the Petitioner filed

Departmental Appeal before the Chief Secretary/Respondent No.1 which was turned down vide order dated 02.11.2015. Hence, the instant petition.

3. In compliance of order of this Court dated 27.11.2015, report and parawise comments were filed on behalf of all the Respondents on 11.01.2016 praying therein dismissal of the instant petition.

4. Hafiz Tariq Nasim, learned counsel for the Petitioner submitted that the inquiry is defective as no prosecution witnesses have been recorded except, only one and that too, opportunity to cross-examine the said witness has not been afforded to the Petitioner. Learned counsel for the Petitioner further contended that Inquiry Officer has recommended for major penalty of forfeiture of service for two years but the Respondent No.2 without giving any cogent reasons, despite raising the objections by the Petitioner while disagreeing with the recommendations, has enhanced the penalty to dismissal from service which is totally against the law and pronouncements of the apex Court. Learned counsel for the Petitioner further contended that the Departmental Appeal of the Petitioner has also been dismissed while ignoring this fact, as such the same also suffers from legal defect. Learned counsel for the Petitioner further argued that similar penalty was also awarded to the colleague of the Petitioner namely Rana Shahid against whom recommendations of the Inquiry Officer have been confirmed by the Respondent No.2 and he is still working on his post whereas the Petitioner has been subjected to dismissal from service after enhancing the penalty, as such a discriminatory attitude has been met out with the Petitioner.

5. In support of his contentions learned counsel for the Petitioner placed reliance on the case titled **Khalid Mansoor v. Director Federal Investigation Agency Rawalpindi and another** (2008 SCMR 1174), **Secretary Government v. Khalid Hamdani** (2013 SCMR 817), **Allah Yar v. General Manager, Railways Headquarters, Lahore and another** (2001 SCMR 256) and **Najam uz Zaman and others v. Engineer in Chief, GHQ, Rawalpindi and 2 others** (2005 SCMR 1802). Learned counsel for the Petitioner also maintained that

the Respondents while passing both the impugned orders have not applied their independent mind. Learned counsel for the Petitioner further added that the Respondent No.2 while enhancing the penalty of the Petitioner has not countered the recommendations through specific findings, hence the recommendations presumed to be accepted. Learned counsel for the Petitioner further submitted that although the Respondent No.2 in the impugned order dated 22.12.2014 has recorded all the above facts and submissions of the Petitioner but did not tackle them by a speaking order. Learned counsel for the Petitioner further contended that both the impugned orders are liable to be set aside being not passed in consonance with the spirit of law and the case law of the Hon'ble Supreme Court of Pakistan relied above.

6. Learned counsel for the Petitioner further argued that however, contrary to what is required under section 13(6) of the Act, the Competent Authority did not give any reasons for disagreeing with the recommendations of the Inquiry Officer where he only imposed major penalty. Under the afore-referred provision, the Competent Authority could either proceed in terms of subsection (5)(i) and (ii) *"keeping in view the findings and recommendations of the inquiry officer or inquiry committee, as the case may be, facts of the case and defence offered by the accused during personal hearing"* or could have proceeded in terms of subsection (6) of section 13 and *"either remand the inquiry to the inquiry officer"* or could have directed de novo inquiry *"after recording reasons in writing"* if he was of the view that *"merits of the case have been ignored or there are other sufficient grounds"*. The learned counsel for the Petitioner argued that no reasons in writing were recorded before passing the impugned order dated 22.12.2014.

7. Learned Law Officer vehemently contested the arguments of the learned counsel for the Petitioner and submitted that loss to Government Exchequer is admitted. Learned Law Officer further contended that fair opportunity of personal hearing had been extended to the Petitioner. It was further argued that specific reason for disbelieving the recommendations of the Inquiry Officer has been given in the impugned order as the Petitioner had already been

awarded two major penalties. Learned Law Officer also added that the penalty of the Petitioner for dismissal from service has aptly been enhanced as the Petitioner is habitual delinquent and deserves for the same. Learned Law Officer further argued that such like officers/officials in the Government Departments may cause problematic to the public at large and need to be dealt with stern action. Learned Law Officer also laid much stress on the point that the Competent Authority is not bound to pass orders in line with the recommendations of the Inquiry Officer. In the line of above submissions, learned Law Officer prayed for dismissal of the petition.

8. In rebuttal to the arguments of the learned Law Officer, the learned counsel for the Petitioner submitted that in the previous inquiry the Petitioner has been held to be exonerated.

9. This petition raises two important questions of service law in particular the 2006 Act. The first is, whether the Inquiry Officer has violated the requirements of the Section 10(1) of the 2006 Act for not cross-examining the witness. The other is, whether the Competent Authority has passed the impugned order without following the procedure laid down in Section 13 of the 2006 Act.

10. From the perusal of the record it reveals that disciplinary proceedings were initiated against the Petitioner under the 2006 Act on the allegation of committing irregularities in the contract of parking fee of general bus stand of TMA Okara causing financial loss of Rs.1,58,52,155/- in connivance with the contractor. An inquiry was conducted in this regard and the Inquiry Officer found that allegations No.2, 3, 4 & 5 stood proved against the Petitioner and recommended imposition of major penalty of forfeiture of past service for two years under Section 4(b)(iii) of the 2006 Act. On the basis of this, show cause notice dated 17.07.2014 was issued to the Petitioner which was duly replied in detail and vide the impugned order dated 22.12.2014 the Petitioner was dismissed from service. Thereafter, the petitioner preferred the Departmental Appeal against the dismissal order which was rejected by the Appellate Authority vide the second impugned order.

Violation of Section 10 of the 2006 Act

11. Learned counsel for the Petitioner specifically raised objection regarding the defectiveness of the inquiry by submitting that no witness has been recorded while concluding the inquiry except only one and the right to cross-examine the said witness has not been given to the Petitioner. The learned counsel for the Petitioner has drawn the attention of this Court towards Section 10 of the 2006 Act which is reproduced below:

10. Procedure to be followed by inquiry officer or inquiry committee.— (1) *On receipt of reply of the accused or on expiry of the stipulated period, if no reply is received from the accused, the inquiry officer or the inquiry committee, as the case may be, shall inquire into the charges and may examine such oral or documentary evidence in support of the charge or in defense of the accused as may be considered necessary and where any witness is produced by one party, the other party shall be entitled to cross examine such witness.*

(2) *If the accused fails to furnish his reply within the stipulated period, or extended period, if any, the inquiry officer or the inquiry committee, as the case may be, shall proceed with the inquiry ex parte.*

(3) *The inquiry officer or the inquiry committee, as the case may be, shall hear the case from day to day and no adjournment shall be given except for reasons to be recorded in writing, in which case it shall not be of more than seven days.*

(4) *Where the inquiry officer or the inquiry committee, as the case may be, is satisfied that the accused is hampering or attempting to hamper the progress of the inquiry, he or it shall administer a warning and if, thereafter, he or it is satisfied that the accused is acting in disregard to the warning, he or it shall record a finding to that effect and proceed to complete the inquiry in such manner as may be deemed expedient in the interest of justice.*

(5) *If the accused absents himself from the inquiry on medical grounds, he shall be deemed to have hampered or attempted to hamper the progress of the inquiry, unless medical leave, applied for by him, is sanctioned on the recommendation of a Medical Board; provided that the competent authority may, in its discretion, sanction medical leave upto seven days without recommendation of the Medical Board.*

(6) *The inquiry officer or the inquiry committee, as the case may be, shall submit his or its report, containing clear findings as to whether the charge or charges have*

been proved or not and specific recommendations regarding exoneration or, imposition of penalty or penalties, to the competent authority within sixty days of the initiation of inquiry:

12. Section 10(1) of the Act clearly reveals that where any witness is produced by one party, the other party shall be entitled to cross examine such witness. But in the present case although the Petitioner has been given opportunity of hearing yet he has been deprived of his right, bestowed by the Act, to cross-examine the witness produced by the other side. Furthermore, an inquiry cannot be held in an arbitrary manner and principles of natural justice must be followed. Fair chance of cross-examination and production of evidence in rebuttal must be provided. Hence, this Court is of the opinion that the inquiry has not been concluded in accordance with procedure provided under Section 10 of the 2006 Act by the Inquiry Officer. In **National Bank of Pakistan v. Muhammad Iqbal (1986 SCMR 234)** the Honourable Supreme Court of Pakistan has held that if the Petitioner is not allowed to cross examine, dismissal order is set aside. Reliance is placed on **Pasroor Sugar Mills Ltd. v. Abdul Qadeer (1988 PLC 246)**.

Violation of Section 13 of 2006 Act

13. It is noted from the record that the Respondent No. 2, the Competent Authority, on 22.12.2014 in the impugned Order in Para 5 noted the defence of the Petitioner which was developed from his detailed defence dated 5.08.2014 to the show cause notice dated 17.07.2014 which reads as follows:

*“AND WHEREAS, the accused during the course of personal hearing submitted that he was proceeded under PEEDA Act, 2006 alongwith co-accused i.e. TMO TMA Okara who was senior most accused being higher in rank as envisaged in section 2 of the PEEDA Act, 2006 therefore, his competent authority is Secretary LG&CD Department and the Punjab Local Government Board cannot hear his case. **The charge sheet was also defective as apportionment of responsibility has not been done. The inquiry officer without recording statement of the prosecution witnesses and cross-examination by the accused compiled his report. He obtained two sureties before currency of the contract period and thereafter the***

action against guarantors was also initiated. The matter was in the knowledge of Administrator TMA Okara and nothing was concealed from him as the matter was discussed number of times and it was his personal responsibility under Rule 6 & 10 of the Punjab Local Government (Contract), Rules 2003. Under Rule 26 of Punjab Local Government (Auctioning of Collection Rights) Rules, 2003 the Administrator had the power to take action against the contractor, section 56 of the Punjab Local Government Ordinance, 2001 empowered him to ensure that the business of TMA is carried in accordance with the provisions of the Ordinance ibid and section 59 of the Ordinance ibid held Administrator responsible for any financial loss or otherwise flowing from his decision and for the expenditure incurred without lawful authority.

14. From the above, it is admitted that the Competent Authority did not consider the above points that charge sheet was defective; Inquiry Officer without recording statement of the prosecution witnesses and cross examination of the accused, compiled his final report. Under Section 13 of the 2006 Act, the Respondent No. 2 has to weigh respect to the recommendation of the Inquiry Officer, however, it cannot differ with the recommendations of the Inquiry Officer without assigning any reasons. The Inquiry Officer in the case in hand submitted the inquiry report to the Competent Authority so as to enable the latter to proceed further as provided under the law. The Section 13 of the 2006 Act lays down a procedure to be followed by the Competent Authority and it reads as follows:--

"13. Order to be passed by the competent authority on receipt of report from the inquiry officer or inquiry committee.---(1) On receipt of the report from the inquiry officer or inquiry committee, as the case may be, the competent authority shall examine the report and the relevant case material and determine whether the inquiry has been conducted in accordance with the provisions of this Act.

(2) If the competent authority is satisfied that the inquiry has been conducted in accordance with the provisions of this Act, it shall further determine whether the charge or charges have been proved against the accused or not.

(3) Where the charge or charges have not been proved, the competent authority shall exonerate the accused by an order in writing.

(4) Where the charge or charges have been proved against the accused, the competent authority shall issue a show cause notice to the accused by which it shall-

(a) inform him of the charges proved against him and the penalty, or penalties proposed to be imposed upon him by the inquiry officer or inquiry committee;

(b) give him reasonable opportunity of showing cause against the penalty or penalties proposed to be imposed upon him and to submit as to why one or more of the penalties as provided in section 4 may not be imposed upon him and to submit additional defense in writing, if any, within seven days of the receipt of the notice, before itself or the hearing officer, as the case may be;

(c) indicate the date of personal hearing or appoint a hearing officer to afford an opportunity of personal hearing on his behalf; provided that the hearing officer shall only be appointed where the competent authority is of the rank of Secretary to Government of the Punjab or above.

(d) provide a copy of the inquiry report to the accused; and

(e) direct the departmental representative to appear, with all the relevant record, on the date of hearing before himself or the hearing officer, as the case may be.

(5) After affording personal hearing to the accused or on receipt of the report of the hearing officer, the competent authority shall, keeping in view the findings and recommendations of the inquiry officer or inquiry committee, as the case may be, facts of the case and defence offered by the accused during personal hearing, by an order in writing--

(i) exonerate the accused; or

(ii) impose any one or more of the penalties specified in section 4:

Provided that --

(i) Where charge or charges of grave corruption are proved against an accused, the penalty of dismissal from service shall be imposed, in addition to the penalty of recovery, if any; and

(ii) Where charge of absence from duty for a period of more than one year is proved against the accused, the penalty of compulsory retirement or removal or dismissal from service shall be imposed upon the accused.

(6) *Where the Competent Authority is satisfied that the inquiry proceedings have not been conducted in accordance with the provisions of this Act or the facts and merits of the case have been ignored or there are other sufficient grounds, it may, after recording reasons in writing, either remand the inquiry to the inquiry officer or the inquiry committee, as the case may be, with such directions as the competent authority may like to give, or may order a de novo inquiry.*

(7)

(8) ”

15. Having not agreed with findings and recommendations made in the inquiry report, the Competent Authority instead of following the options available to him under subsection (6) of section 13 quoted above, proceeded to award major penalty of dismissal from service vide the impugned order dated 22.12.2014 by only holding in paragraph 9 without discussing the previous paragraph 5 which reads as follows:

“NOW THEREFORE, in view of the above, I DAWOOD MUHAMMAD BAREACH, Secretary LG&CD Department/Chairman Punjab Local Government Board in exercise of powers vested in me under section 13(5)(ii) of the PEEDA Act, 2006 do hereby impose major penalty of “Dismissal from Service” upon the accused namely Allah Ditta Ex-TO(F) TMA Okara now ATO (F) TMA Kasur in terms of Section 4(1)(b)(vi) of the PEEDA Act, 2006. The case of Rana Shahid Ahmad Ex-TMO TMA Okara will be decided separately by the Competent Authority”

16. From the reading of the above Section, it is observed that on 22.12.2014 the Competent Authority purportedly proceeded in terms of subsection (5)(ii) read with subsection (6) of Section 13 with only two (2) pages while disagreeing vide the impugned order without giving any reasons and not properly examining the defences of the Petitioner noted in paragraph 5 above. Section 13(1) of the 2006 Act mandates the Competent Authority to carefully examine the report and the material produced before it prior to passing any order. However, contrary to what is required under section 13(6) of the Act, the Competent Authority did not give any reason for disagreeing with the recommendations of the Inquiry Officer. As rightly argued by the learned counsel for the

Petitioner, which the Court agrees with, the Competent Authority could either proceed in terms of subsections (5)(i) and (ii) "keeping in view the findings and recommendations of the Inquiry Officer or Inquiry Committee, as the case may be the facts of the case and defence offered by the accused during personal hearing" or could have proceeded in terms of subsection (6) of section 13 "either remand the inquiry to the inquiry officer" or could have directed *de novo* inquiry "after recording reasons in writing" if he was of the view that "merits of the case have been ignored or there are other sufficient grounds". Having not agreed with findings and recommendations made in the inquiry report, the Competent Authority instead of following the options available to him under subsection (6) of Section 13 quoted above, proceeded to award major penalty of dismissal from service, which is against the spirit of the Section 13.

17. The similar issue was settled by the Honourable Supreme Court of Pakistan in **Secretary Government of Punjab vs Ikram Ullah and others, (2013 SCMR 572) = Secretary, Government of Punjab (C&W) and others v. Ikramullah and 5 others (2013 PLC (CS) 801)** wherein it was held as follows:

"there is no cavil to the proposition that the competent authority on receipt of the report from the Inquiry Officer of the Inquiry Committee can proceed in any of the options available to him in terms of subsections (2) to (8) to section 13 of the Punjab Employees Efficiency, Discipline and Accountability Act, 2006. However, while doing so, it has to follow the procedure laid down therein and if it proposes to enhance the penalty it has to give reasons germane to the charges levelled and the evidence collected during inquiry and that too with reference to the liability of each of the officers who were inquired into. Unfortunately, the Competent Authority did not give any reason whatsoever except that he had gone through the record and the defence pleas of the respondents and had also personally inspected the road, defective construction of which was a moot point during inquiry. Mere deplorable condition of the road at site was not enough to hold each Respondent guilty unless the Competent Authority specifically had referred to the role and liability of each one of the Respondents in the light of material/evidence collected during inquiry. Learned Law Officer on court query, could not dispute the fact that the Competent Authority neither gave any reason for enhancing the penalty nor apportioned the liability of each of the respondents specifically. Even the site inspection of the road was carried out, it is not denied by the learned Law Officer, after four years of the completion of the said project and that too in absence

of the respondents. For what has been discussed above, we do not find any merit in these petitions, which are dismissed and leave refused.”

18. Moreover, the impugned order dated 22.12.2014 does not reflect that the Competent Authority has shown his disagreement specifically with the recommendations of the Inquiry Officer. Even otherwise if it is presumed that the dismissal order has been passed while disagreeing with the recommendations of the Inquiry Officer, the Competent Authority must have recorded specific reasons of his disbelieving the recommendations of the Inquiry Officer by elaborating the defences noted in paragraph 5 of the impugned order. Furthermore, the Competent Authority has recorded all the submissions of the Petitioner in paragraph 5 but while passing the dismissal order has not given specific findings for enhancing the penalty from forfeiture of past service for two years to dismissal from service and has also ignored the facts of defectiveness of the inquiry.

19. Further, the Honourable Supreme Court elaborated the role of the Competent Authority and the procedure it had to follow under Section 13(6) of the 2006 Act in **Secretary Government v. Khalid Hamdani (2013 SCMR 817)** wherein it was held as follows:

“the Competent Authority, it appears, neither examined the evidence recorded during inquiry nor appreciated the findings given by the Inquiry Officer and proceeded to enhance the penalty by converting the same into major penalty of dismissal from service and the recovery from Rs.2.76 million as determined by the Inquiry Officer to Rest.6.518 million merely on the basis of a report submitted by the Chief Engineer after the submission of inquiry report and issuance of show cause notices to the respondent officers. If he was of the view that the finding of the Inquiry Officer qua the quantum of excess payment was factually incorrect, he could have directed de novo inquiry or could have confronted the respondent officers with the report of the Chief Engineer. He even did not specifically disagree with the findings of the Inquiry Officer with regard to the nature of the misconduct committed by the Respondent Officers which persuaded the latter to recommend minor penalties. The authority enhanced the penalty merely on the basis of Chief Engineer's report that the excess payment made was more than what was calculated by the Inquiry Officer. There is no cavil to the proposition that the act of carelessness on the part of a civil servant could be a valid

ground to award penalty. Elements of bad faith and willfulness may bring the act of negligence within the mischief of 'misconduct' but a conduct demonstrating lack of proper care and the requisite vigilance may not always be willful amounting to grave negligence to warrant harsh punishment.”

20. On the issue of exercising the discretion by the Competent Authority, while exercising power under Section 13(6) of the 2006 Act, the Honourable Supreme Court in *Khalid Hamdani* case *supra* held that in the administrative law, the authority is vested with a certain amount of discretion and the said discretion has to be exercised by applying independent mind uninfluenced by irrelevant or extraneous considerations. In **Messrs Gadoon Textil Mills v. WAPDA (1997 SCMR 641)**, this Court was called upon to comment on the ambit of the discretionary power vested in an administrative authority. While analyzing the opinion, this Court to make exercise of discretionary power valid, observed as follows:

“Apart from being legal it is also reasonable. While conferring discretion on an authority the statute does not intend to arm such Authority with unfettered discretion which may be beyond the limits of reason, and comprehension of a man of ordinary intelligence. Wade in Administrative Law has traced the principles of reasonableness which according to him is firmly established at least from 16th century and has quoted Rooke's case (1598) 5 Co. Rep. 99b where the Commissioner of Sewers had levied charges for repairing a river bank on one adjacent owner instead of apportioning it among all the owners, who had benefited.”

21. Since the Competent Authority has passed a non-speaking order which is without any examining and recording of the reasons as envisaged under Section 13(6) of the 2006 Act. This is against the law laid down by the Hon’ble Supreme Court of Pakistan. Further, the Honourable Supreme Court, in the case titled **Muhammad Iqbal Chaudhry and another v. Secretary, Ministry Of Industries And Production, Government Of Pakistan and others (2004 PLC (C.S.) 896)** at Para 3, has emphasized on the requirement of passing a speaking order by public authorities in following words:

“3. It may be noted that the forums seized with the judicial matters are required to pass such a speaking judgment that it should give an impression to readers that the legal and factual aspects of the, case which were raised before it for the purpose of decision have been

considered and decided in the light of recognized principles of law on the subject instead of disposing of in slipshod manner."

22. Further, in the case of **Mollah Ejahar Ali v. Government Of East Pakistan and Others** (PLD 1970 Supreme Court 173), the Honorable Supreme Court has explained the need and importance for passing a speaking order by stating that:

"There is no doubt that the High Court's order which is unfortunately purfunctory gives the impression of a hasty off-hand decision which, although found to be correct in its result, is most deficient in its content. if a summary order of rejection can be made in such terms, there is no reason why a similar order of acceptance saying "there is considerable substance in the petition which is accepted", should not be equally blessed. This will reduce the whole judicial process to authoritarian decrees without the need for logic and reasoning which have always been the traditional pillars of judicial pronouncements investing them with their primary excellence of propriety and judicial balance. Litigants who bring their disputes to the law Courts with the incidental hardships and expenses involved do expect a patient and a judicious treatment of their cases and their determination by proper orders. A judicial order must be a speaking order manifesting by itself that the Court has applied its mind to the resolution of the issues involved for their proper adjudication. The ultimate result may be reached by a laborious effort, but if the final order does not bear an imprint of that effort and on the contrary discloses arbitrariness of thought and action, the feeling with its painful results, that justice has neither been done nor seems to have been done is inescapable. When the order of a lower Court contains no reasons, the appellate Court is deprived of the benefit of the views of the lower Court and is unable to appreciate the processes by which the decision has been reached."

23. Similarly, the Honorable Courts in various judgments, has directed several authorities to adhere to the above-mentioned principle while passing a speaking order with reasons and after keeping in view the facts and circumstances of the case, applicable law as well as precedents, if available. Reliance is placed on the case titled **Town**

Committee, Piplan v. Muhammad Hanif and others (2008 SCMR 723).

24. It is also worth mentioning that it is inalienable right of every citizen to be treated in accordance with law as envisaged by Article 4 of the Constitution. Hence, it is the duty and obligation of every public functionary, including the Respondents, to act within the four corners of the mandate of the Constitution and the 2006 Act, and pass a speaking order. In *Khalid Hamdani* case *supra*, the Honourable Supreme Court held that we are also conscious of the well-recognized principle that when a decision is rendered by an administrative authority it is essential that an appropriate balance must be struck between the adverse effects which the decision may have on the rights or interests of the person condemned and the purpose which the authority is seeking to pursue, proportionately by now is a well-recognized concept of administrative law. The Superior Court in the case of **Independent Newspaper Corporation (Pvt.) Ltd. and another v. Chairman, Fourth Wage Board and Implementation Tribunal for Newspaper Employees, Government of Pakistan, Islamabad and 2 others (1993 SCMR 1533)** held that the principle is well-settled that when express statutory power is conferred on a public functionary, it should not be pushed too far, for such conferment implies a restraint in operating that power, so as to exercise it justly and reasonably.

25. Reliance is also placed on **"Asif Yousaf v. Secretary Revenue Division, CBR, Islamabad and another" (2014 SCMR 147)** in which it was held as follows:

“there is no cavil to the proposition that the Competent Authority is not bound by the recommendation of Inquiry Officer qua the award of penalty to the accused officer. However, while disagreeing and awarding higher penalty than recommended by the Inquiry Officer, he has to firstly provide opportunity of hearing to the accused officer and secondly, he has to pass a reasoned order with conscious application of mind. The tenor of the order passed to which reference has been made above indicates that although the Inquiry Officer had found the appellant to be negligent in his conduct and the charge of 'maladministration' was not proved yet the Competent Authority while awarding him major penalty of dismissal from service found that "there was substantial evidence on record to prove the charges". There is no reference to the evidence or material which

found favour with the Competent Authority to award major penalty of dismissal from service. Admittedly there was no allegation that the accused Officer was guilty of corruption or of financial gain."

26. From the language used in the Section 13(1) of the 2006 Act, it is unequivocal that once the Competent Authority receives a report from the Inquiry Officer, it shall examine the (i) report and (ii) relevant case material. The word 'shall' has been used in this Section, which mandates the Competent Authority to examine carefully the report and all the material. In this case, as noted above, the Respondent No.2 only mentioned the defences of the Petitioner in para 5 from the record but failed to determine whether the inquiry has been concluded in accordance with the provisions of the 2006 Act because Section 13(1) clearly mentions that the Competent Authority has to determine the validity of the Inquiry proceedings from the report and all the material, available with it.

27. In the light of the principles laid down by the Hon'ble Supreme Court of Pakistan, it is ruled out that importantly, the Competent Authority was obliged to deal with the matter after application of mind with reasons vide a speaking orders by elaborating all the contentions. In the case in hand the Inquiry Officer only imposed major penalty vide the detailed ten (10) pages Report dated 18.06.2014, and the Petitioner in his detailed reply to the show cause of ten (10) pages has defended all the allegations but the Competent Authority in few lines has disagreed with the findings and dismissed the Petitioner from service without assigning detailed reasons through a proper speaking order and not adopting the procedure laid down in the Section 13(6) of 2006 Act.

28. From the referred Sections 10 and 13(6) of the 2006 Act and the law laid down by the Supreme Court in the judgments of *Ikram Ullah and Khalid Hamdani* cases *supra*, the Court is of the opinion that the Competent Authority and the Appellate Authority did not pass proper and lawful orders.

29. In view of what has been discussed above, the instant petition is accepted in the terms that the impugned orders 22.12.2014 and

22.11.2015 are set aside; consequently the inquiry proceedings are held to be defective. Hence, the Respondents shall hold *de novo* inquiry and shall conclude the same under **due process of law** after affording proper opportunity of hearing to all the concerned.

(JAWAD HASSAN)
JUDGE

Announced in open Court on the 29th day of December, 2016.

Approved for reporting

JUDGE

M.NAVEED